CHAPTER 15

M A N U F A C T U R E S T O D A Y

CHARACTER OF DEVELOPMENT

In contrast to her agriculture, Palestine's manufacturing has been dominated by Jewish-owned enterprises. Arab manufacturing, like Arab agriculture, remains -- with few exceptions -- low in productivity and bound by tradition.

At the end of World War I, Palestine had no modern manufacturing. It is estimated that in 1921-22 her handicrafts, workshops, and factories may have employed about 10,000 persons, of whom more than one-third were self-employed or unpaid family workers. By 1930 the number of gainfully employed in manufactures had increased to slightly over 15,000. In 1939 it was about 48,000, and in 1942 about 64,000. A measure of relative growth is provided by the fact that total manufacturing employment increased nearly five times between 1921 and 1939, while population increased slightly more than two times.

Today perhaps five-sixths of the gainfully-occupied in manufactures work in Jewish enterprises, and these enterprises account for a somewhat larger fraction of the total net value of manufacturing output. Clearly the development of Palestine's manufactures has been primarily a Jewish activity.

Palestine's basic economic position bears little resemblance to that of most countries that have been successful in the establishment of modern industry. She lacks the resources to attempt an "all-round" industrialization on the Soviet model. She does not have the large internal markets that were available to consume the output of large-scale manufacturing in Great Britain, the United States, Germany, and Japan, when those countries began industrialization. She also lacks the advantages which Switzerland, Belgium, and the Netherlands had in their nineteenth century industrialization -- namely, old traditions of craftsmanship and ready access, with low transportation costs and moderate tariffs, to the markets of progressive neighboring countries.